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CASE #	CASE NAME	HEARING NAME
CVRI2601606	ARANA vs BUGARIN	DEMURRER ON COMPLAINT

Tentative Ruling:

Plaintiffs Melissa Arana and Oscar Arana (“Plaintiffs”) allege that they were members of a 4-person band known as “Chicano Mosh,” including Defendant Bryan Bugarin (“Defendant”) and another musician. Defendant acted as the singer of the band. The band allegedly operates under an oral agreement that all 4 members were equal partners and would share profits and decision-making equally. Plaintiffs allege that Defendant maintained sole control over the band’s financial accounts and records. Defendant allegedly deposited show payments, merchandise revenue, and streaming income into his personal bank account, and refused to provide bank statements, records of receipts, or an accounting of show income. Plaintiffs allege that Defendant commingled band and personal funds, and used about \$20,000 in merchandise revenue to buy a vehicle titled solely in his name. They further allege that Defendant attempted to remove them from the band after they sought financial transparency, and that Defendant and others told third parties that Plaintiffs were “kicked out” for being “difficult”.

The operative complaint, filed 3/13/26, asserts: (1) breach of oral contract; (2) breach of fiduciary duty; (3) accounting; (4) fraud (concealment / misrepresentation); (5) conversion; (6) unjust enrichment / restitution; (7) declaratory relief; and (8) defamation (slander).

I. Demurrer

A. Summary of Arguments

Now, Defendant demurs to fraud (4th), conversion (5th), unjust enrichment/restitution (6th), and slander (8th) causes of action for failure to state facts sufficient and on uncertainty grounds. Defendant argues that the fraud claim has no facts for the speaker, date, place, or occasion, and that reliance is not pled. He argues that the conversion claim fails because Plaintiffs do not identify a specific sum or a right in property. Defendant asserts that unjust enrichment is not an independent cause of action, and that a quasi-contract claim cannot coexist with an express agreement. He argues that the slander claim has no facts.

In opposition, Plaintiffs argue that Defendant’s alleged exclusive control of the records relaxes the particularity requirement. They argue that the repeated postponement, commingling, refusal to account, and personal use of proceeds support intent and reliance. They argue that the revenue streams and the \$20,000 vehicle purchase identify the converted property. They assert that Corp. Code §§16405 and 16502 preserve distribution rights. They argue that unjust enrichment should be construed as a quasi-contract claim seeking restitution. As to slander, Plaintiffs rely on the rule that they need plead only the substance of an oral statement and argue that “difficult” or “unprofessional” imply misconduct.

In reply, Defendant's counsel declares that they never received Plaintiffs' opposition. On the merits, Defendant replies that statements were assertedly made to *Plaintiffs themselves* and so they are within Plaintiffs' knowledge. Defendant argues that the conversion claim remains uncertain on partnership distributions. Defendant asserts that the restitution claim does not allege the oral agreement is void, unenforceable, or rescinded. Defendant further argues that the slander claim has no facts.

B. Analysis

Meet and Confer

CCP §430.41(a) requires a meet and confer process via ***telephone, video conference, or in person*** before filing a demurrer. The meet and confer process requires the moving party to identify the causes of action or allegations subject to attack and the responding party must provide legal support for its position. CCP §435.5 imposes a parallel requirement for a motion to strike. (Code Civ. Proc., §§ 430.41(a), 435.5(a).) Here, Defense counsel conferred by phone with Plaintiffs' counsel on 8/7/26. (Ross Decl. ¶ 7.) Defendant complied.

Service

CCP §1005(c) requires opposition and reply papers to be served by personal delivery, facsimile, express mail, or other means reasonably calculated to ensure delivery by the close of the next business day after filing. "[U]pon the request of any person who has appeared in an action or proceeding and who provides an electronic service address," a represented person ***shall*** electronically serve that requesting person. (CCP § 1010.6(b)(4).) Here, defense counsel states that neither opposition arrived and that he obtained them through the court's records. (Supp. Ross Dem. Decl., ¶¶ 3-6; Supp. Ross Strike Decl., ¶¶ 3-6.) Each proof of service identifies only ordinary U.S. mail on 8/26/26. (Supp. Ross Decl., ¶¶ 4-5.) Had counsel requested e-service, then the ordinary mail would not satisfy section 1005(c). Nonetheless, in filing a substantive reply, Defendant waived any defect or irregularity in the filing and service of the opposition. (See *Carlton v. Quint* (2000) 77 Cal.App.4th 690, 697.) Accordingly, the court should give due consideration to Plaintiff's oppositions.

Standards

Special Demurrer

A special demurrer lies where a pleading is uncertain, ambiguous and unintelligible. (CCP § 430.10(f).) Demurrers for uncertainty, however, are typically sustained only where the defendant cannot reasonably determine what issues must be admitted or denied, or what claims are directed against him. (*Khoury v. Maly's of California, Inc.* (1993) 14 Cal.App.4th 612, 616.) Here, the court should overrule the special demurrer on uncertainty grounds because the pleading still communicates the nature of the claims and one can reasonably determine the theories asserted.

General Demurrer

A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (CCP § 430.10(e).) In evaluating a demurrer, the court gives the pleading a reasonable interpretation by reading it as a whole and all of its parts in their context. (*Moore v. Regents of University of California* (1990) 51 Cal.3d 120, 125.) The court assumes the truth of all material facts which have been properly pleaded, of facts which may be inferred from those expressly alleged, and of any material facts of which judicial notice has been requested and may be taken. (*Crowley v. Katleman* (1994) 8 Cal.4th 666, 672.) If the complaint, read liberally, states a cause of action on any theory, the demurrer must be overruled. (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.) If the complaint fails to state a cause of action, the court must grant the plaintiff leave to amend if there is a reasonable possibility that the defect can be cured by amendment. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

4th Cause of Action: Fraud

The elements of fraud are “(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or ‘scienter’); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Typically, the elements of fraud must be specifically alleged. (*Stanfield v. Starkey* (1999) 220 Cal.App.3d 59, 73.) “This particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’” (*Id.*, citing *Hill Transp. Co. v. Southwest Forest Industries, Inc.* (1968) 266 Cal.App.2d 702, 707.)

Here, the complaint pleads some overlapping fraud theories: Defendant promises to provide information “later,” but never did; Defendant represents that “merchandise profits would remain with the band,” yet they were used to purchase a vehicle in Defendant’s name; and that Defendant concealed financial information. (Compl., ¶¶ 10, 11, 28.) The pleading identifies Defendant as the alleged custodian, and the alleged partnership supports a duty to disclose partnership financial information. (Compl., ¶¶ 7-10, 21-22.) The pleading, however, does not identify the dates/times, locations, methods of communication, particular requests, or which representation Defendant made to which plaintiff. These particulars are within Plaintiffs’ knowledge even if the underlying account balances are not. The Court sustains the demurrer to the 4th cause of action with leave to amend.

5th Cause of Action: Conversion

Conversion is the wrongful exercise of dominion over the property of another. (*Lee v. Hanley* (2015) 61 Cal.4th 1225, 1240.) The elements of a conversion claim include: (1) the plaintiff’s ownership or right to possession of the property; (2) the defendant’s conversion by a wrongful act or disposition of property rights; and (3) damages. (*Id.*, citing *Welco Electronics, Inc. v. Mora* (2014) 223 Cal.App.4th 202, 208.) A mere contractual right of payment, without more, will not suffice to support a claim for

conversion. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 233.) “Money may be the subject of conversion if the claim involves a specific, identifiable sum; it is not necessary that each coin or bill be earmarked.” (*Welco Electronics, Inc. v. Mora, supra*, 223 Cal.App.4th at 209.)

Here, the complaint identifies some show payments, merchandise profits, and streaming income, but identifies no specific sum belonging to either plaintiff. (Compl., ¶ 33.) For the \$20,000 vehicle, Plaintiffs do not allege facts establishing either plaintiff’s individual ownership or right to possess that vehicle. (*Id.*, ¶¶ 11, 34.) Property acquired by a partnership belongs to the *partnership*, not to the partners *individually*. (Corp. Code, § 16203.) “A partner is not a co-owner of partnership property and has no interest in partnership property that can be transferred, either voluntarily or involuntarily.” (*Id.*, § 16501.) A partner may enforce partnership and distribution rights “with or without an accounting” (Corp. Code, § 16405), but that does not itself create an *individual* interest in any particular asset or unascertained sums. Here, the complaint alleges only a right to the partnership’s profits or payments. The court sustains the demurrer to the 5th cause of action with leave to amend.¹

6th Cause of Action: Unjust Enrichment

There is currently a split of authority as to whether unjust enrichment is a cause of action. (*Melchior v. New Line Productions, Inc.* (2003) 106 Cal.App.4th 779, 793 (unjust enrichment is a remedy); *Lectrodryer v. SeoulBank* (2000) 77 Cal.App.4th 723, 726 (unjust enrichment is a claim).) One court has noted that this is merely academic, because unjust enrichment is synonymous with restitution. (*O’Grady v. Merchant Exchange Productions, Inc.* (2019) 41 Cal.App.5th 771, 791.) The elements are: (1) receipt of a benefit; (2) unjust or wrongful retention of the benefit; and (3) at the expense of another. (*Lectrodryer, supra*, 77 Cal.App.4th at 726.) “[A]s a matter of law, a quasi-contract action for unjust enrichment does not lie where, as here, express binding agreements exist and define the parties’ rights.” (*California Medical Ass’n, Inc. v. Aetna U.S. Healthcare of California, Inc.* (2001) 94 Cal.App.4th 151, 172.)

“A claim for restitution is permitted even if the party inconsistently pleads a breach of contract claim.” (*Rutherford Holdings, LLC v. Plaza Del Rey, supra*, 223 Cal.App.4th at 231.) However, the restitution count must allege a basis (such as rescission) for recovery outside the contract. (*Ibid.*; *Lance Camper Manufacturing Corp. v. Republic Indemnity Co.* (1996) 44 Cal.App.4th 194, 203.)

Here, this claim alleges that “Defendant received and retained benefits in the form of partnership income and assets to which Plaintiffs are entitled.” (Compl., ¶ 37.) It alleges that such a retention would be “unjust.” (*Id.*, ¶ 38.) In other parts of the pleading, it alleges and seeks to enforce an express agreement to “share profits and decision-making” equally. (*Id.*, ¶¶ 7, 16.) Although the declaratory relief claim alleges that a “controversy has arisen regarding... whether a general partnership existed” (Compl., ¶ 40), the restitution claim does not plead that the agreement is rescinded or otherwise unenforceable, or that restitution is sought in the alternative if no enforceable

¹ Amendment may be possible if Plaintiffs can identify some specific sums or property and allege each plaintiff’s ownership or right to possess, rather than a right to partnership profits or payment.

agreement governs. The court sustains the demurrer to the 6th cause of action with leave to amend.

8th Cause of Action: Slander

Defamation is an invasion of the interest in reputation. The tort involves the intentional publication of a statement of fact that is false, unprivileged, and has a natural tendency to injury or which causes special damages.” (*Smith v. Maldonado* (1999) 72 Cal.App.4th 637, 645.) Defamation consists of two forms: libel and slander. (*Burrill v. Nair* (2013) 217 Cal.App.4th 357, 382.) As relevant here, slander is a false and unprivileged publication, orally uttered that indicates an individual was involved in a crime, has an infectious or contagious disease, that tends to injure someone’s reputation, pertains to the individual’s lack of chastity, or by natural consequences causes actual damages. (Civ. Code § 46.) Slander “can be charged by alleging the substance of the defamatory statement,” rather than the exact words of the statement. (*Okun v. Superior Court* (1981) 29 Cal.3d 442, 458.) The court decides as a question of law whether the allegedly defamatory statement constitutes fact or opinion. (*Gregory v. McDonnell Douglas Corp.* (1976) 17 Cal.3d 596, 601.) What constitutes “a statement of fact in one context may be treated as a statement of opinion in another, in light of the nature and content of the communication taken as a whole.” (*Id.*)

Here, the complaint alleges that “Defendant and others acting with him told third parties that Plaintiffs were ‘kicked out’ for being difficult, harming Plaintiffs’ reputations and professional opportunities.” (Compl., ¶ 14.) It then alleges that “Defendant published false statements of fact to third parties, including that Plaintiffs were ‘kicked out’ for being difficult, implying Plaintiffs engaged in improper conduct and were unfit or unprofessional.” (*Id.*, ¶ 43.) “Difficult” or “unprofessional” are subjective evaluations. Without more, they cannot be an objective provably false statement. The complaint does not allege publication of any specific conduct, or other objectively verifiable facts. It also does not identify whether Defendant or any other person made a particular statement, and is silent as to the listener/receiver, the time of communication, or any other circumstances that would permit evaluation of the meaning of the words or the context when Defendant allegedly speaks. The court in *Okun* relaxes the exact words rule, but it does not eliminate the requirement to plead the substance and actual publication. The court sustains the demurrer to the 8th cause of action with leave to amend.

2.

CASE #	CASE NAME	HEARING NAME
CVRI2601606	ARANA vs BUGARIN	MOTION TO STRIKE COMPLAINT

Tentative Ruling:

Defendant moves to strike punitive damages and the prayer for attorney fees. He argues that paragraph 31 merely recites Civ. Code section 3294 without facts. He asserts that the demand for attorney fees has no basis.